

NVIDIA Corporation

NVDA NASDAQ

Buy	\$217.56 ▼ 0.99%	12M Price Target \$260.00	52-Week Range \$164.07 – \$236.54	Market Cap \$5.27T
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NVDA: Cooling Into Earnings, But AI Trade Still Intact

WHAT HAPPENED

- Stock is down about 3.5% over the last three sessions heading into earnings — this is classic "de-risking" behavior, meaning big investors trim positions before a major event so they're not caught offside if the report disappoints. Not a fundamental red flag on its own.
- Options market is flashing caution: put/call ratio at 0.52 sounds bullish on the surface, but the unusual activity is heavy on near-the-money puts at \$217.50 (50k contracts, 3.6x normal open interest) — someone big is paying up for downside protection into the print.

WHY IT MATTERS

Here's what the tape is telling you: NVDA earnings are the single biggest event for the entire market this month, and the pullback from \$225 to \$217 suggests smart money is protecting gains rather than betting against the story. The OpenAI "growth disappoints" headline from Monday is doing some damage by association — if the biggest AI customer is slowing, the market worries the chip orders slow too. But that logic is shakier than it looks: hyperscaler capex (Microsoft, Meta, Google, Amazon spending on data centers) is still guided up double-digits, and those four alone are ~40% of NVDA's revenue. The setup into the print is a coiled spring — beat and raise sends this to \$240+, in-line with cautious China commentary probably means a dip to \$205 before it recovers.

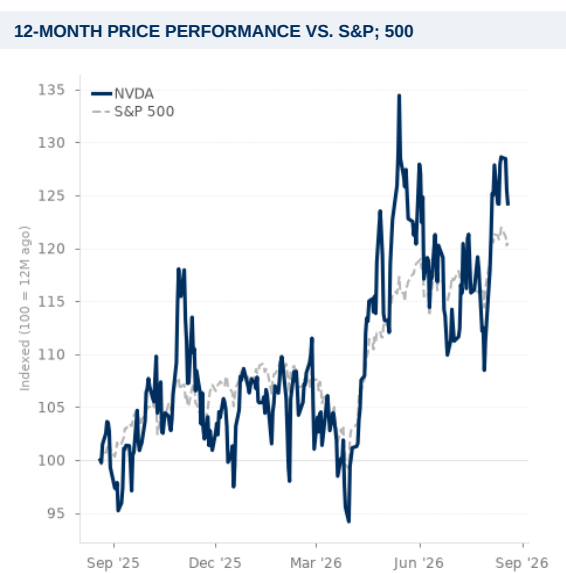
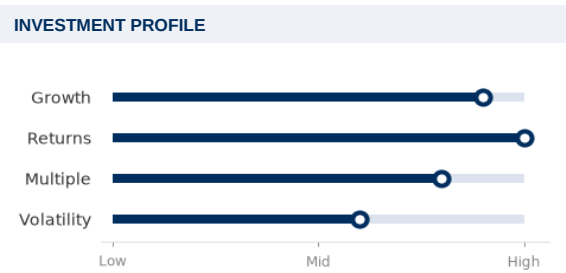
POLICY & POLITICAL WATCH

The big one is the Trump administration's China chip export framework — the current deal lets NVDA sell H20 chips to China in exchange for a 15% revenue cut to the U.S. government, which is unprecedented and legally messy. If Congress moves to codify or block this arrangement (there's bipartisan noise on both sides), it directly hits ~10-12% of NVDA's revenue. Also watch the CHIPS Act 2.0 discussions and any executive orders on AI infrastructure permitting — faster data center approvals = faster GPU orders = tailwind. Net-net: the regulatory environment is a mixed bag, but the administration clearly views AI dominance as a national priority, which is structurally bullish.

IS IT EXPENSIVE?

At \$217, NVDA trades around 45x forward earnings — meaning you're paying \$45 today for every \$1 the company is expected to earn next year. That's expensive vs the S&P 500 at ~22x, but cheap for a company still growing revenue 40%+ with 75% gross margins (they keep 75 cents of every dollar in sales before overhead). The stock is basically priced for continued dominance — any crack in that narrative and the multiple compresses fast, but any beat justifies the current price easily.

Key Data	
Price (USD)	\$217.56
12M Price Target	\$260.00
Upside / (Downside)	+19.5%
Market Cap	\$5.27T
FY2027E Revenue	\$215M
FY2028E Revenue	\$275M
FY2027E EPS	\$4.85
FY2028E EPS	\$6.30
Fwd P/E	44.9x



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$245.00	\$225.00	\$200.00
6 Months	\$270.00	\$240.00	\$190.00
1 Year	\$300.00	\$260.00	\$180.00
2 Years	\$360.00	\$300.00	\$170.00
5 Years	\$500.00	\$380.00	\$200.00
10 Years	\$750.00	\$500.00	\$220.00

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+3.5% today) — rotation into defensives suggests some investors are taking risk off the table ahead of NVDA earnings. Consumer Discretionary also up, hinting at a "soft landing" narrative gaining traction.

COOLING OFF: Tech isn't in the top movers list today, which is telling — money is rotating OUT of tech into more defensive corners ahead of the print. This is short-term positioning, not a trend change.

ROTATION WATCH: The healthcare + staples bid + tech softness combo is classic "de-risking before a catalyst" behavior. If NVDA prints well Wednesday, this reverses violently within 48 hours.

RELATED PLAY: The AI power/infrastructure angle is under-owned — data centers are hitting grid capacity limits, so names like VST (Vistra), CEG (Constellation Energy), and even industrial cooling/electrical (ETN, VRT) benefit whether NVDA has a great quarter or just a good one.

WHO'S WINNING IN THIS SPACE?

- AVGO (Broadcom): Winning on custom AI chip design wins with hyperscalers — the "if you can't beat 'em, help them build their own" trade.
- VRT (Vertiv): Data center cooling and power — every GPU NVDA ships needs their gear, and they don't have China risk.

NVDA CONTEXT: NVDA has been consolidating while some peers push higher, which usually means it's the "safe" AI name that's fully discounted and the money is chasing the next-tier beneficiaries. That's actually a bullish setup — when NVDA prints, it reasserts leadership and the whole complex rallies with it.

WHAT I'D DO WITH THIS STOCK

8/10 Conviction Score

CONVICTION: 8/10 — The AI capex cycle isn't over, and NVDA still has the best chips, best software (CUDA), and best margins in the industry. Only reason it's not a 9 is China policy uncertainty.

POSITION SIZE: 5-8% of portfolio — this is a core holding for anyone bullish on AI, but don't go bigger because a single earnings print or China headline can move it 10% overnight.

ENTRY POINTS: I'd add in the \$210-215 zone if we see pre-earnings weakness, and back up the truck under \$200. Chasing above \$230 pre-print is bad risk/reward.

TIME HORIZON: 12-24 months — the real catalyst isn't this earnings, it's the Blackwell Ultra ramp and Rubin architecture reveal in 2027.

WHEN TO BAIL: If data center revenue growth slows below 30% YoY for two consecutive quarters, or if a full China ban gets reinstated with no offset, the thesis changes.

HEDGING: Simplest hedge is buying a put option 10% below current price expiring after earnings — it's insurance that costs a small premium but protects you if the print disappoints. Or just trim 20% of your position before Wednesday and buy it back after.